

MICROFINANCE

Hyderabad | ANDHRA PRADESH



Getting down to the basics

A new-age development project transforms mealy-mouthed charity into a bustling business model

■ By Amarnath K. Menon

There is no greater trial than challenging one's complacency and helping people to help themselves. It made Prasanth V. Regy, 27, an IIT Mumbai mechanical engineering graduate, quit his job as a software engineer at Oracle and join BASIX, a livelihood promotion institution that works with over 1.9 lakh village households spread over 10 states. "There is the possibility of making a change through focused development economics," says Regy, who is currently engaged in connecting Bihari migrant labourers in east Delhi with their villages through the banking system instead of money orders.

There are several others like him. Subhash Chander Jindal brought together the handloom weavers of Chanderi, Madhya Pradesh, helping improve their wages by creating a yarn bank and diversifying pro-

duction from saris to furnishings. He is now grouping 120-odd ragpickers of Indore to set up shop and increase their meagre monthly income of Rs 1,500 by at least 30 per cent. Like Jindal and Regy, BASIX has 140 MBAs, 120 M.Com degree holders and 160 other postgraduates in agriculture, veterinary science, fishery, engineering and social work on its rolls. "We enlist only those who are eager to make a difference to the poor in rural India on a commercially viable basis," says BASIX CEO N.V. Ramana. He quit ITC after 20 years, for "the more satisfying experience" of joining his 1981 IIM, Ahmedabad, batch-mate Vijay Mahajan, BASIX's founder chairman. "If we spare 2.5 per cent of our GDP for livelihood finance annually, we will be in time to achieve the 2015 Millennium Development Goals of halving poverty," says Mahajan. With more people ready to take up the task, that goal could actually step out of the seminar circuit.

SELF HELP: BASIX CEO Ramana lends a hand



A. PRABHAKAR RAO

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CRORE RUPEES OF MICRO CREDIT HAS BEEN EXTENDED BY BASIX TO SUPPORT 2 LAKH LIVELIHOODS